

Fearnleys Tanker Market Wrap-up Sep 2024

Sep 27, 2024

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At the cusp

We do not make any changes to the outlook in this report, but highlight the following key takes:

- The change in sentiment in the oil market should not meaningfully change the outlook for the biggest tankers which means a seasonal upturn should be imminent. Energy agency balances still point to supportive fundamental drivers next year - and the softer price picture has improved freight economics. Fleet growth for the biggest tankers is and will remain very low over the next year.
- The product tanker outlook is weaker with softer (normalised) refinery margins and revised refinery run estimates, possibly with shorter average sailing distances to come. This stacks against increasing fleet growth, and we see downside risk to our rate forecasts for next year.
- Reports saying that Saudi Arabia is ready to give up oil price support in favour of gaining market share would be a meaningful net positive for rates into the winter and next year.

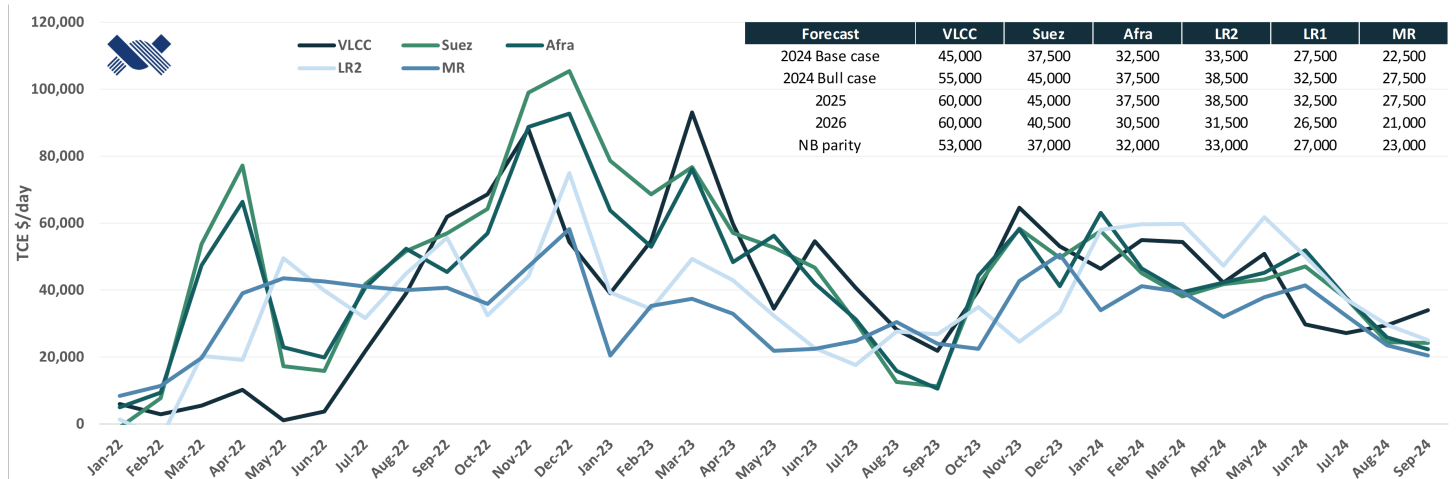
Summary and outlook

After a very strong start to the year, sentiment is now more measured. While we earlier leaned toward a bull-case rate trajectory, we are now closer to the base case again for the remainder of the year, unless the OPEC+ delivers on its cut unwind.

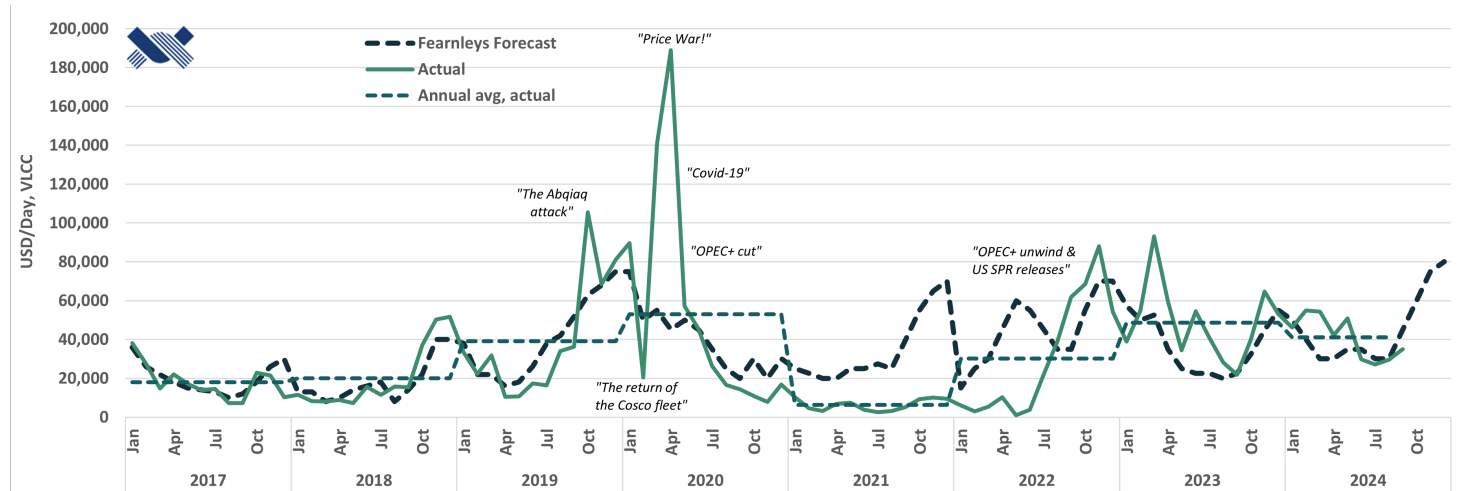
For the same reason as we were a bit cautious about the rate outlook for this year, namely macro worries after a long up-cycle, we could see some downside risk for next year, especially for the smaller tanker segments which may see a more rapid normalisation of earnings vs. VLCCs than we had expected. We will, however, await further indications in coming months before contemplating any rate forecast changes. Continued trade disruption and most recent energy agency forecasts still support a positive overall market outlook.

So far in September, 'everything' looks to be moving along a 'normal' trajectory for this time of the year, with VLCC rates having gained some traction, and the smaller segments lagging a bit still. That said, while VLCC rates came in spot on our \$30k/d forecast in August, they have lagged in September, only recovering a few \$k/d vs. our \$45k/d forecast. With further volumes expected to come toward year-end, both seasonal and absolute, and hardly any deliveries, at least for the bigger vessels, rates should strengthen significantly.

Rates and forecast



VLCC rates vs. forecast



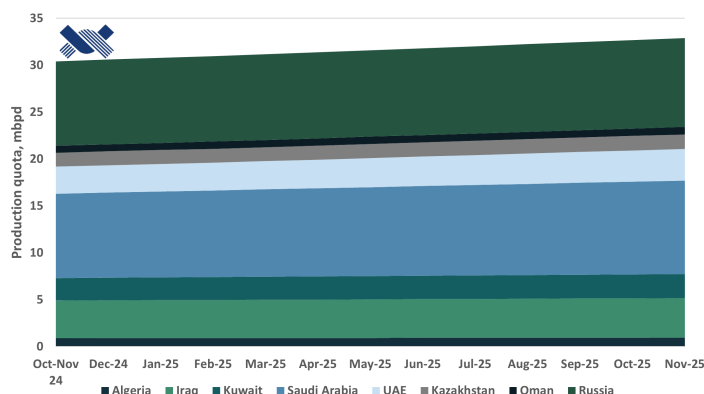
Source: Fearnleys, Baltic

A big positive for tanker rates if true: According to the FT Saudi Arabia may follow through on the gradual 2.2 mbpd OPEC+ cut unwind from December, thus foregoing price support. This is a scenario we have for some time highlighted, which becomes all the more likely. Saudi Arabia has lost significant market share to the Americas and Iran, and next year, the IEA expects non-OPEC+ production growth of 1.8 mbpd – vs. oil demand growth of ‘only’ 0.9 mbpd. Hence, risk was already on the downside for oil prices. Further OPEC+ cuts to shore up prices could challenge sustainable production capacity and threaten OPEC+ unity (most other members would rather prefer increasing output). Several members have overproduced in recent years, and Iran's production has doubled, and thus the alleged shift in strategy can be seen as both trying to hurt U.S. shale producers and punish OPEC+ ‘cheaters’. Further, this could curtail Iran's (oil) income, which has partly contributed to proxy wars and increased Middle East instability. An added benefit is that lower oil prices should stimulate higher demand.

As a reminder, current OPEC+ cuts are threefold: an ‘official’ group cut of 2 mbpd until the end of 2025, a 1.66 mbpd voluntary cut by certain members until the end of 2025, and the voluntary 2.2 mbpd cut which will now likely be gradually unwound.

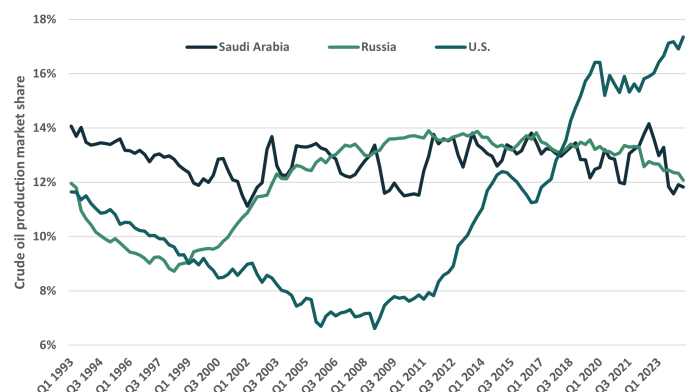
For the tanker market, this is an obvious positive. This may limit some non-OPEC+ production growth next year, as the WTI forward curve is already below U.S. shale producers' average breakeven to drill new wells. However, the magnitude of the proposed OPEC+ reversal is the bigger story, and if followed through this gives upside risk vs. our rate estimates next year – mostly for VLCCs.

Proposed OPEC+ voluntary 2.2pd cut unwind



Source: OPEC, EIA

Saudi Arabia and OPEC lost significant market share

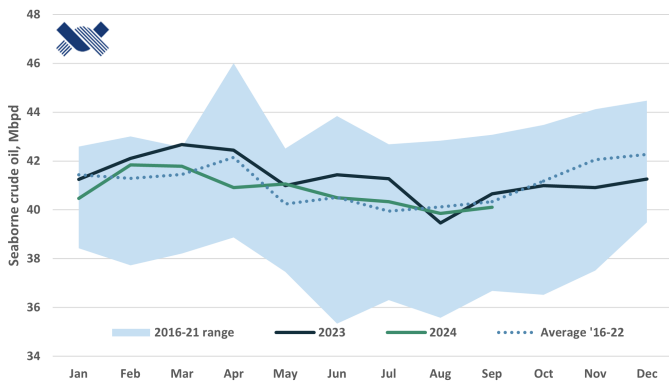


Volumes YTD have been flat for crude tankers and slightly higher for product tankers. Seasonally, with lower domestic demand in key producing areas, volumes normally increase by close to 3 mbpd between August and December, with three quarters of this tilted toward crude tankers.

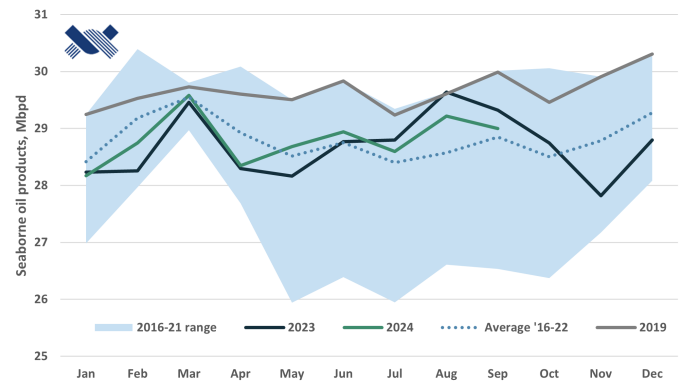
On paper, there is no room for higher OPEC+ production, as non-OPEC+ continues to grow (although YTD the additions from the latter group has been much smaller than forecast by key energy agencies). Before any OPEC+ additions, the IEA expects global oil production to rise by 1.2 mbpd between a low-point in September and year-end.

One question mark, especially for Aframaxes is Libya, where the most recent headlines point to progress. If and when Libyan production does come back, it is not just a (direct) positive for Afras in the Med, but also crude tankers more broadly (indirect) as it should again help push relative pricing to accommodate an open USG-East arb..

Seaborne crude oil volumes



Seaborne oil product volumes

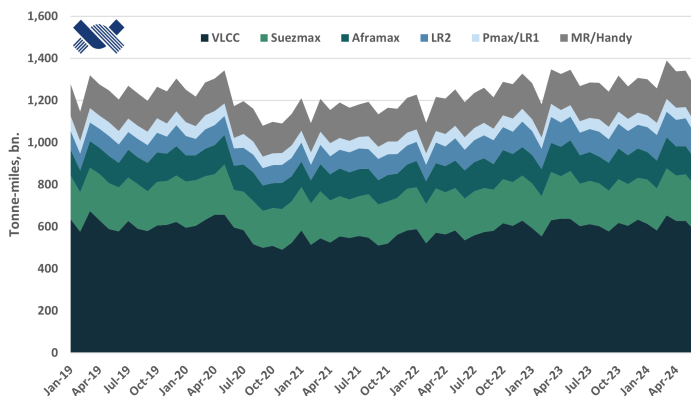


Source: Fearnleys, Vortexa

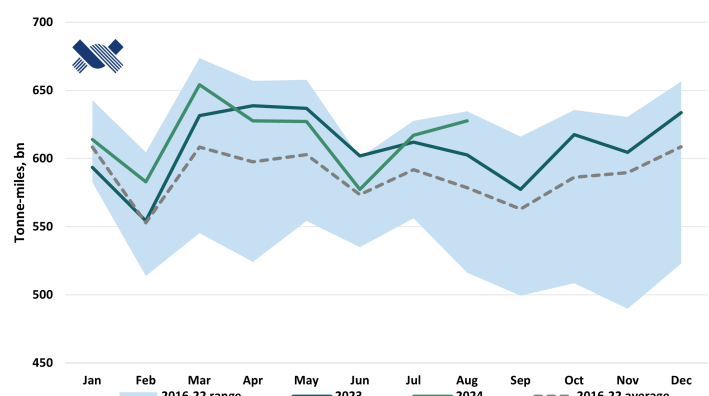
Tonne mile-demand has risen slightly more than volumes YTD, by 1.7%, with the biggest growth by far posted by LR2s, while Aframax has declined slightly. In August, tonne-mile gains were again led by LR2s, but VLCC and Suezmax demand growth had also picked up meaningfully vs. the same month last year.

Fleet growth has been minimal YTD, and well below demand growth. This should have led to stronger rate development, and the recent strengthening for VLCC rates is really 'only' a catch-up trade. With no real crude tanker fleet growth through year-end, this is a good starting point for rates to recover more strongly - once sentiment turns and owners reclaim the driving seat.

Total tanker tonne-miles



Total tanker tonne-miles, seasonally



Source: Fearnleys, Vortexa

Weaker overall oil market sentiment

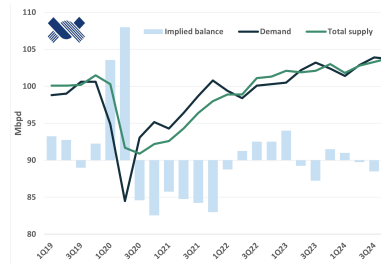
The oil market sentiment has turned less optimistic recently, with lower oil prices, softer refinery margins, weaker macro data, especially from China, and the OPEC+ delaying its production cut reversal by two months.

The IEA's balances indicate a significant oversupply next year with demand growth of 'only' 0.9 mbpd vs. supply growth of 1.9 mbpd. It is interesting to note that the EIA forecasts a fairly balanced market, though with much more optimistic demand forecasts (+1.5 mbpd). Both include expectations for very strong non-OPEC production growth (IEA at 1.8 mbpd and EIA at 1.6 mbpd), which appears quite optimistic - especially at current oil prices.

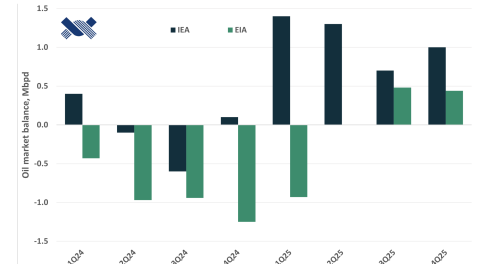
Slightly backwardated but flattening forward curve



Reflecting ongoing stock draws which will turn to builds



Big divergence in energy agency market balance forecasts

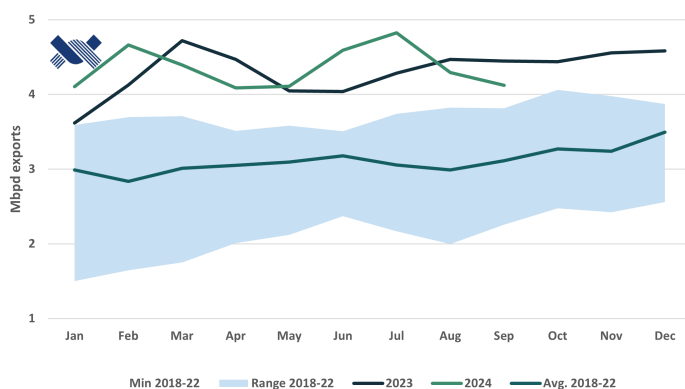


Bloomberg, IEA

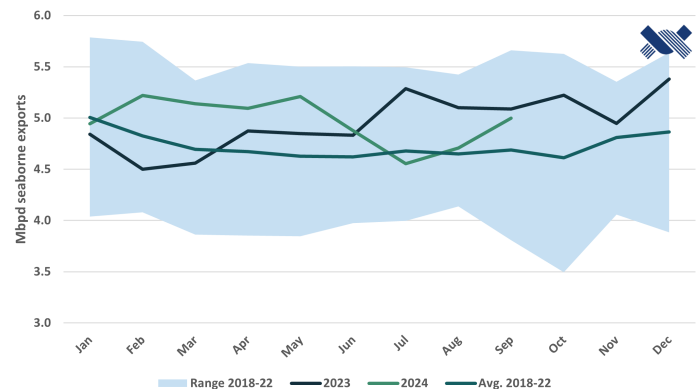
Although both agencies have reported strong non-OPEC+ production growth this year (IEA at 0.9 mbpd and EIA at 0.7 mbpd), mostly from the Americas, crude oil exports growth has been very slim. YTD exports from North America have risen by about 110 kbpd from the same period last year, and Latin American growth has been about 90 kbpd.

OECD inventories in the Americas have risen by about 0.2 mbpd whilst refinery runs have risen by about 300 kbpd, making up the majority of the difference. Local absorption might help explain the low tanker volume and tonne-mile demand growth YTD compared to expectations at the beginning of the year. Next year, however, this should change, with the IEA forecasting 1.8 mbpd of non-OPEC+ production growth, most of which is expected from the Americas, and on top of that refinery runs in the region are expected to decline by 300 kbpd.

North America seaborne crude oil exports



Latin America seaborne crude oil exports



Source: Fearnleys, Vortexa

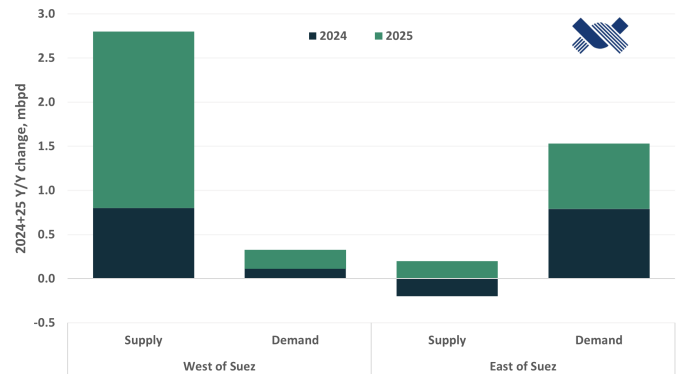
Beyond a building oversupply of crude oil into next year, the IEA's estimates point to a wider geographical mismatch between oil production and demand growth. The combination

of the two should stimulate more long-haul trade, with an expectation that it should lead the oil price forward curves to flip into contango, and the WTI-Dubai spread to widen, all else equal, to provide a wide open West-East arbitrage.

Even in a scenario where the energy agencies are much too optimistic about non-OPEC+ supply growth, where the latter only about matches (IEA) demand growth (0.9 mbpd), that alone could give crude tanker tonne-mile growth of around 4% (for reference the IEA's forecasts could imply VLCC tonne-mile demand growth of nearly twice that..). Hence, while the oil market sentiment has turned recently, there are still reasons to be optimistic about crude tanker, and especially VLCC demand next year.

Source: IEA

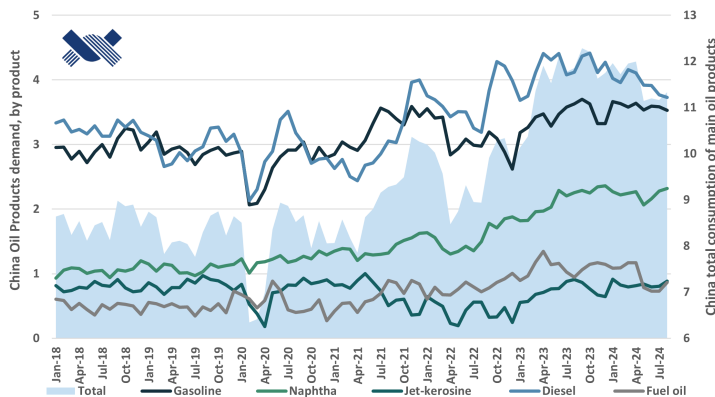
Oil demand and supply growth by area



Chinese oil demand remains a worry. August oil demand improved slightly m/m, but remained lower y/y. That said, jet fuel (+14.2%), naphtha (+9%) and gasoline (+5.3% - so much for the EV story, where we actually see that BEV takes increasing market share of the EV statistics which are therefore somewhat misleading...) demand remain well above last year, while fuel oil (-11.9%) and diesel (-3.9%) contribute to the downside, mainly due to slower industrial output. Overall, products demand YTD is up 1.6% vs. the same period last year. Inventories built meaningfully in August, due to a sharp increase in imports while refinery runs only rose marginally.

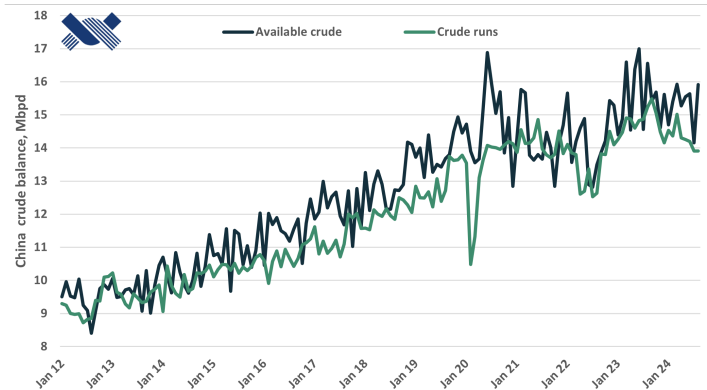
Going forward, increased stimulus from the PBOC announced recently should help shore up some recovery for activity, at least sufficiently so that crude oil imports should remain relatively high. Lower oil prices tend to help.

China apparent oil products demand



Source: Argus

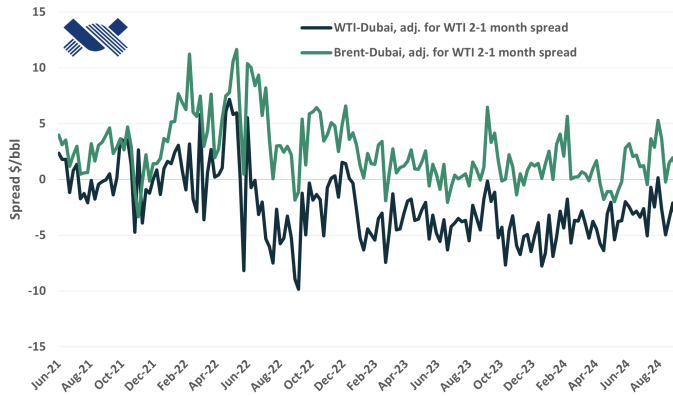
China available crude oil vs. refinery runs



The relative price picture for crude has weakened markedly, and led to improving long-haul freight economics. All else equal, higher Americas crude oil production, lower refinery runs, and an oil market balance which tilts toward oversupply should in coming months keep an open arbitrage. This can be a deciding factor for how strong the winter market for VLCCs becomes.

One thing to note, too, is that crude oil priced in Chinese Renminbi is among the very cheapest it has been in a few years. Any further weakness in oil pricing could thus be a positive driver for (crude) tanker demand.

Brent/WTI-Dubai spread, adjusted for 2-1 month forward spread



Source: Bloomberg

Brent priced in CNY



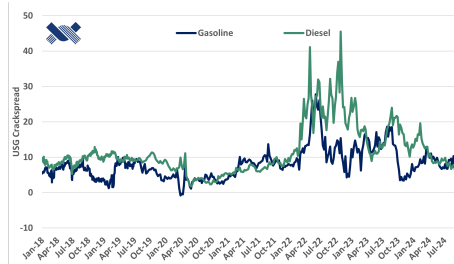
With weakening refinery margins globally runs have broadly been cut. The IEA's recent y/y growth forecast of 0.4 mbpd for this year is down from more than 1 mbpd at the beginning of the year. Next year's estimate has been lowered to 0.7 mbpd from 1 mbpd initially.

Much of the upcoming growth is expected to come in China, where new refineries more than offset some closures of older, inefficient refineries. The remaining refinery capacity growth is mostly located closer to where demand growth will also be, meaning product tanker sailing distances might overall shorten going forward. Thus, product tanker tonne-mile growth could come in below 2% next year.

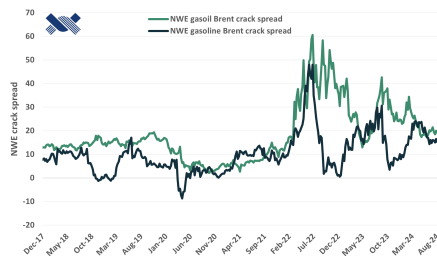
Runs in the Americas are expected to decline slightly next year, which should all else equal leave more crude oil available for exports - on top of already strong production growth.

Beyond lower tonne-mile demand growth for product tankers, lower (read: normalised) refinery margins also likely means less supportive arbitrages and less room for high freight. This may thus mean a quicker normalisation of product tanker rates than we had earlier assumed - and therefore downside risk to our 2025 rate forecasts.

U.S. Gulf crack spreads



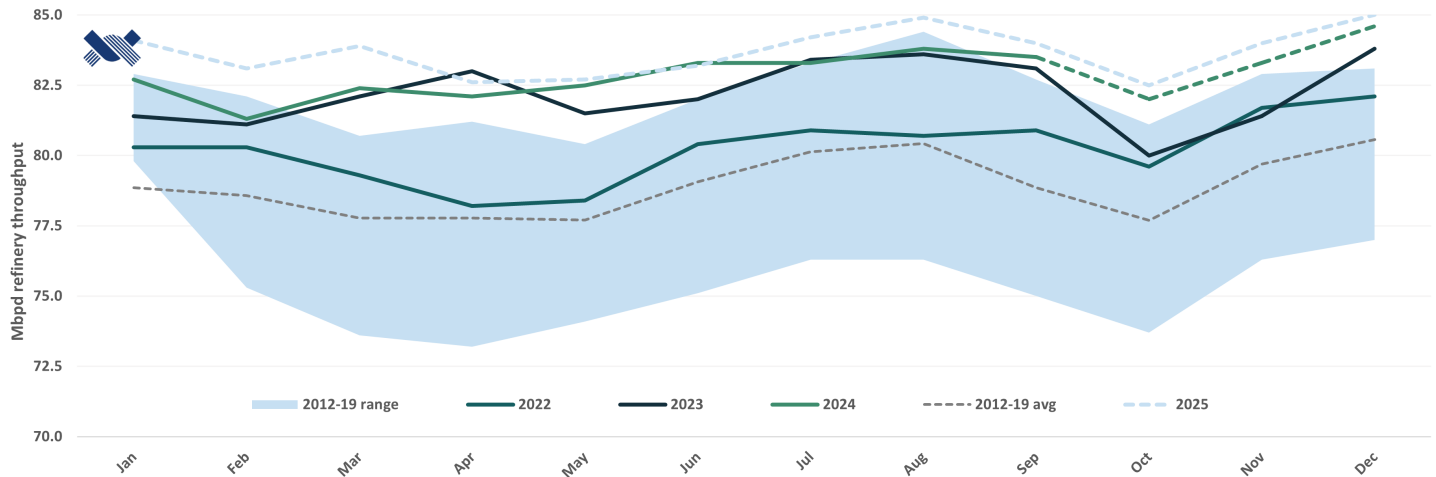
NorthWest Europe crack spreads



China crack spreads



Global refinery runs



Source: EIA, Bloomberg, Argus, IEA

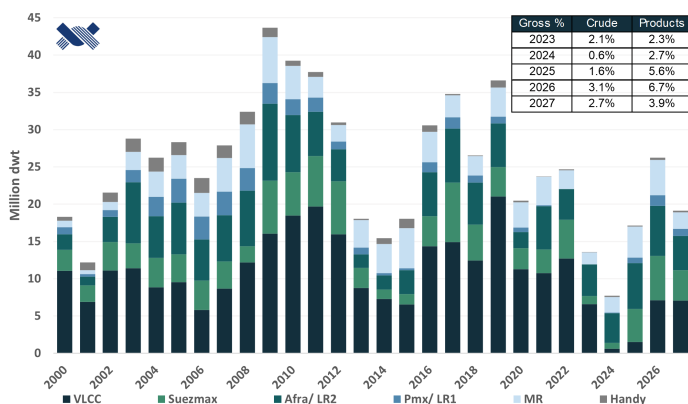
Low to balanced fleet growth outlook

Fleet growth YTD has been scarce at 0.5%. The crude tanker fleet has grown by 0.2% and products by 1.4%. These figures could nearly double by year-end - still low overall numbers. The next two years, however, growth increases, especially for product tankers which is a key reason why we expect a continued levelling of the playing field earnings wise between the segments going forward.

The orderbook to fleet at the beginning of September stood at 10.9% vs. the fleet, which is still not huge in a historical context, but getting to the point where it, including expected coming orders near-term, may limit some rate upside in coming years.

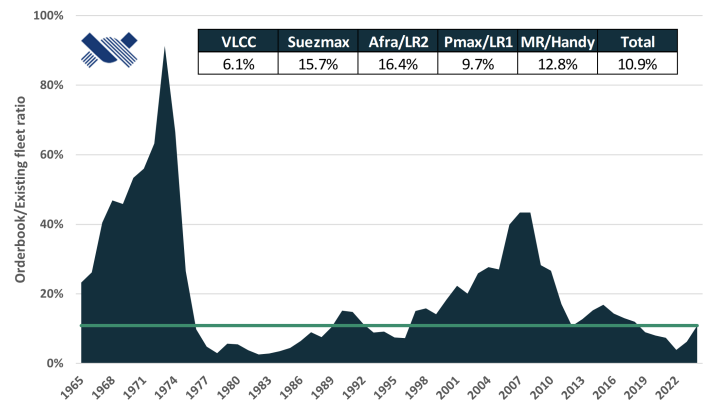
Should rates soften in a potentially weaker demand environment, however, there is a vast number of phase-out candidates which should limit downside risk vs. earlier down-cycles. Hence, the fleet growth outlook in coming years is fairly balanced, and rate development to a larger extent hinges on the demand side.

Historical tanker deliveries



Source: Fearnleys

Historical tanker orderbook

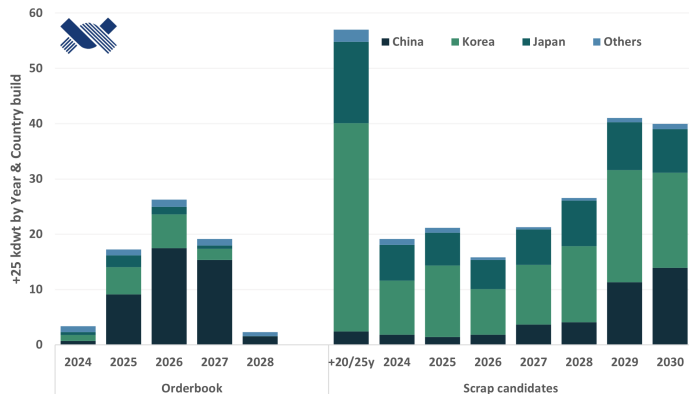


The ageing part of the fleet will at some point become an issue, particularly for charterers adhering to stringent maximum age restrictions. By 2026, nearly a quarter of the fleet will be made up of 20+ years old vessels, which means much slimmer pickings.

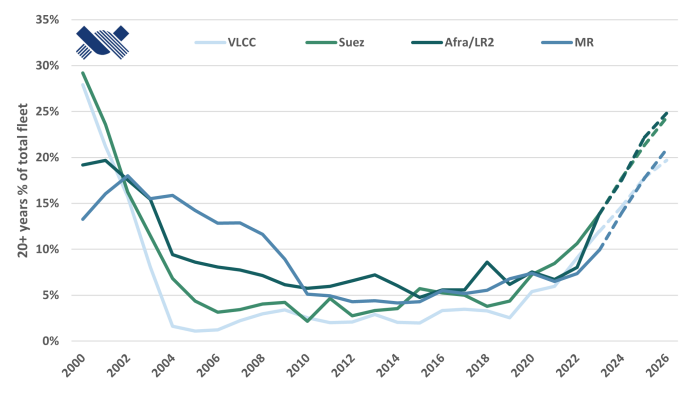
At some point this will also lead to increased phase-out, either directly or through the form of lower utilisation for the oldest vessels. For the large portion of the fleet which is already above the historical average phase-out age, most are engaged in sanctioned trades. Among these, most would strive to even achieve 50% utilisation vs. the normal fleet - hence is already 'half way phased out'. This largely explains why we have a fairly tight tanker market balance today, despite fleet growth of 10.6% on paper between 2019 and now vs. tonne-mile growth of 'only' 5.3% over the same period.

Although Iran's president has recently expressed a desire to restart JCPOA talks, it does not appear like any resolution is imminent, considering recent Middle East turmoil and the progress in enrichment of uranium in Iran's nuclear development. Therefore, the oldest part of the fleet which would otherwise have been obsolete, is likely to continue trading, albeit at very low utilisation.

Tanker orderbook vs. phase-out candidates



20+ years old vessels share of the total fleet



Source: Fearnleys

Geopolitics and scenarios

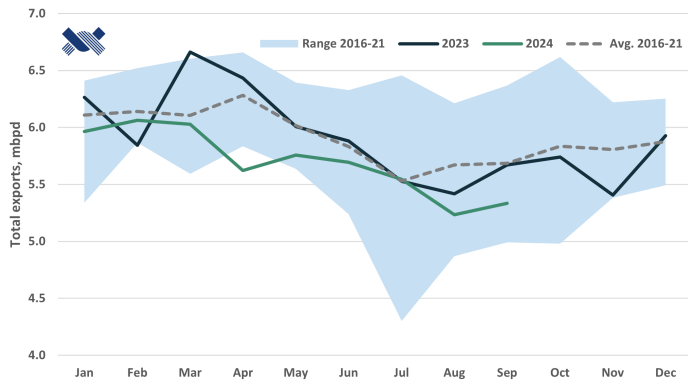
Nothing is quite straight forward in the current volatile geopolitical landscape - not to mention macroeconomically, where there are still risks.

The main downside scenarios, beyond any macro turmoil, relate to normalisation of trade after the last few years' trade disruptions. We do not deem any resolution either in the Russia/Ukraine or Middle East conflicts as very likely, although there are continuously some (premature) news headlines suggesting otherwise.

If Trump is elected, he has stated he will quickly end these conflicts, and force an agreement with Iran. The two former scenarios would be sharply negative for the segments which have benefited the most from disruptions. The Russia/Ukraine conflict has caused about 6% upside for overall tanker tonne-miles, slightly more for MRs and nearly 15% for Aframax/LR2. The risk to the latter two segments adds to downside risk from a weaker demand growth picture and higher fleet growth already.

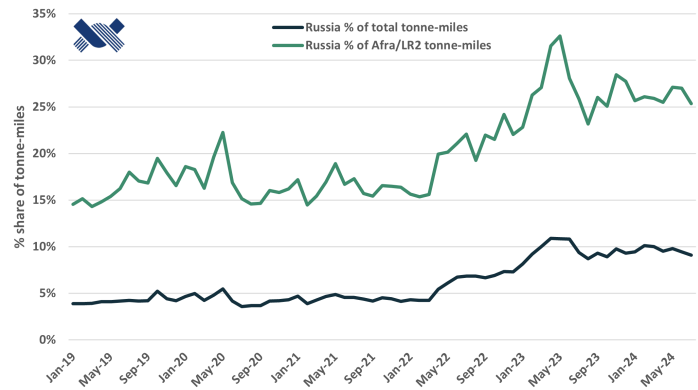
Ukrainian attacks on Russian refineries and slightly lower crude oil production has led Russian exports lower, and tonne-mile support for tankers similarly slightly lower in recent months. However, Urals now trade well below the G7 price cap again, which begs the question whether more owners will return to this trade.

Russia seaborne exports



Source: Fearnleys, Vortexa

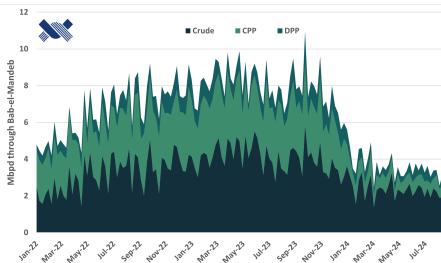
Russian origin share of tanker tonne-miles



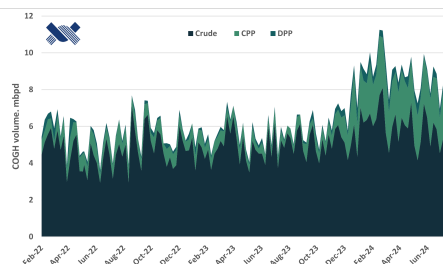
Red Sea evasion has mostly supported product tankers, which again face the biggest downside risk if any resolution is found. We estimate a total tonne-mile increase of about 3% from this situation, and about double that figure for product tankers.

YTD, crude tanker transits through the Red Sea have declined by 1.6 mbpd while about 0.8 mbpd has found its way around the COGH. Corresponding figures for product tankers are -2.7 mbpd and 2 mbpd, respectively. Some of the uplift in product tanker tonne-miles has been mitigated by VLCCs and Suezmaxes cleaning up in recent months. While VLCC rates have increased sufficiently so that this switching effect should ebb, it might still make sense to clean up Suezmaxes at current rates.. While this has not at all been the major driver to the downside for product tanker rates over the last few months, an unwind could be at least some help for product tanker rates.

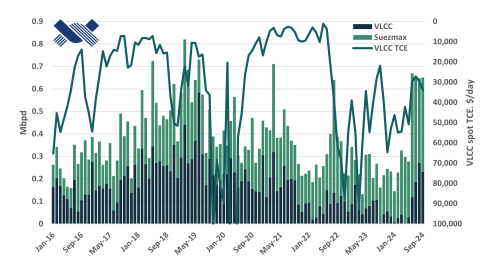
Red Sea tanker volumes



Cape of Good Hope tanker volumes



CPP volumes on VLCC and Suezmax



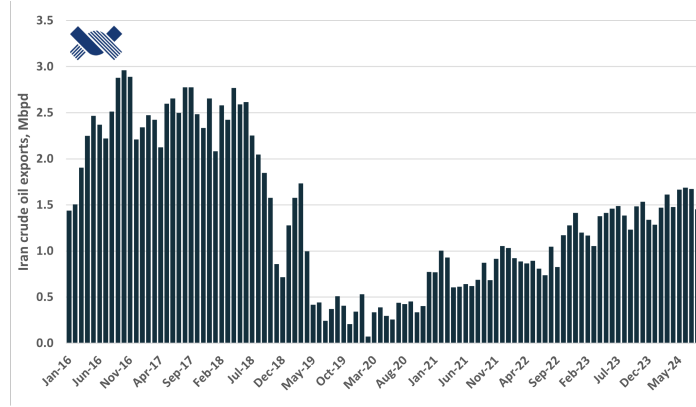
Source: Fearnleys, Vortexa

The perhaps biggest risk to the upside for the tanker market, other than a full OPEC+ comeback, is if Iran sanctions are lifted. Iran's successful crude oil exports, rising about 1 mbpd in recent years has plagued the 'normal' crude tanker market. This has absorbed a lot of the increase in Chinese crude oil demand in recent years and taken potential market share from OPEC+ peers.

Furthermore, it has supported continued artificial employment for older tonnage which in many cases should have been phased out in most normal market conditions historically. Although this massive part of the fleet is already halfway phased out, a lifting of sanctions on Iran would most likely lead a large portion of this fleet to finally be scrapped. For the parts of this fleet that might continue trading, that would require extensive dockings etc. to regain 'normal' trading status and approvals - a cumbersome process.

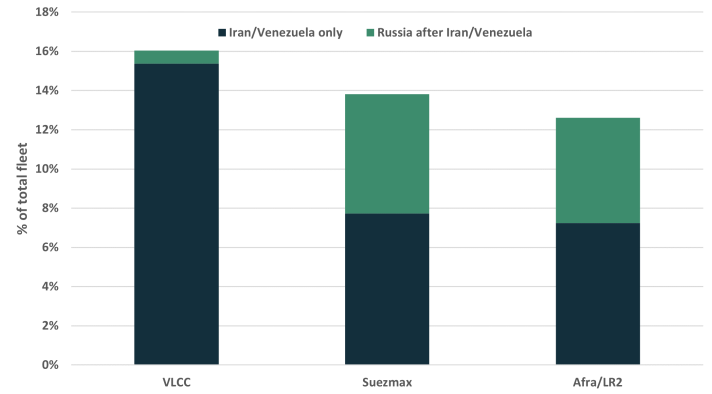
Hence, a prospective lifting of Iran sanctions, although currently seeming far fetched, is a bull case for the tanker market, both from a supply and demand perspective.

Iran seaborne crude oil exports



Source: Fearnleys, Vortexa

Shadow fleet



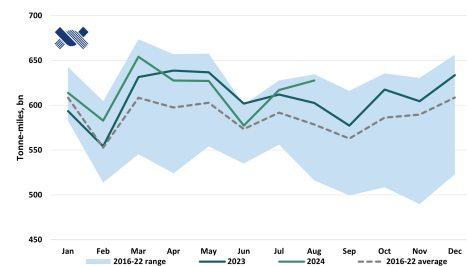
YTD status - demand vs. supply vs. rate development by segment

While a very theoretical exercise, the below compares tonne-mile demand vs. supply growth for the various segments, and compares with the YTD rate development, to see whether the latter is ahead of or behind the curve..

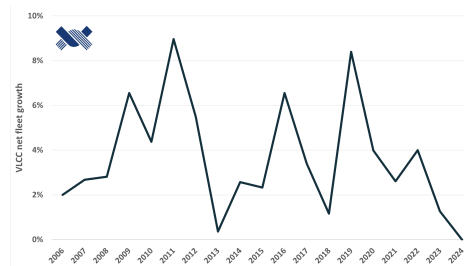
VLCC tonne-miles YTD have risen by 1.2%, while fleet growth has been zero. Meanwhile, rates YTD have been more than \$6k/d lower than over the same period last year - a catch-up should be in the cards...

Next year, depending on various scenarios, tonne-mile demand is expected to rise considerably more, potentially well above 5% is the IEA's oil demand and supply forecasts turn out to be correct, while gross fleet growth is expected at a 'whopping' 0.6%. Only one more vessel is scheduled to deliver this year.

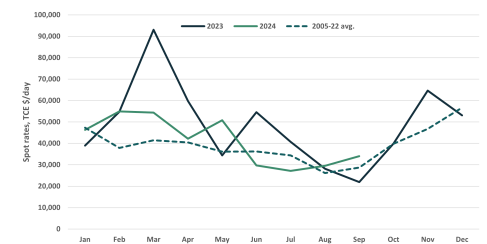
VLCC tonne-mile demand



VLCC fleet growth



VLCC rate development

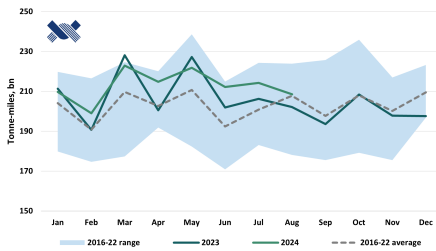


Source: Fearnleys, Vortexa

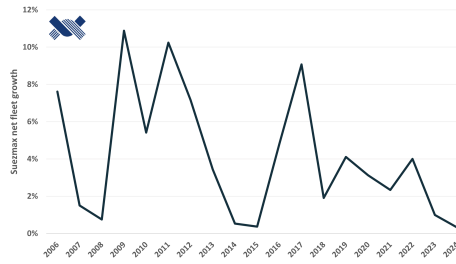
Suezmax tonne-miles YTD have risen by 2.1%, while fleet growth has been 0.3%. Meanwhile, rates have been more than \$8k/d lower than over the same period last year, so here too a catch-up appears likely.

Only two more deliveries are scheduled through year-end, but next year gross Suezmax deliveries may pick up to 4.6% fleet growth, which should give fairly balanced market development due to spillover demand from the favourable geographical setup for oil demand vs. supply which mostly favours the biggest vessels.

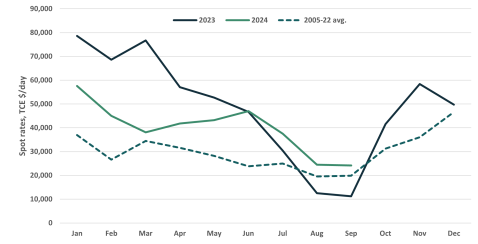
Suezmax tonne-mile demand



Suezmax fleet growth



Suezmax rate development

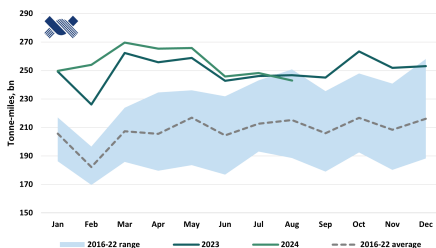


Source: Fearnleys, Vortexa, Baltic

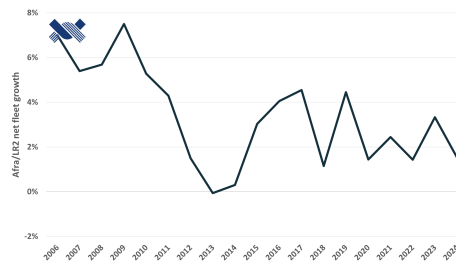
Afra/LR2 tonne-miles YTD have risen by 2.7%, while fleet growth has been 1.5%. Meanwhile, rates YTD have been about \$2k/d lower than over the same period last year - so fairly in line though a strong end to the year should still be expected...

Through the remainder of this year another 1.4% is scheduled for delivery, and next year overall Aframax gross fleet growth is scheduled to be 5%. We believe it will be a tall ask for demand to reach similar heights. Hence rates are expected to soften vs. this year - getting closer to but still well above the historical average.

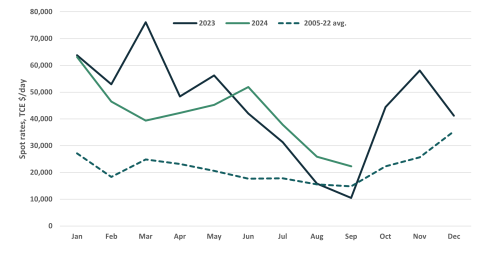
Afra/LR2 tonne-mile demand



Afra/LR2 fleet growth



Aframax rate development

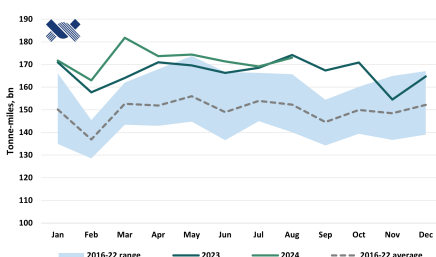


Source: Fearnleys, Vortexa, Baltic

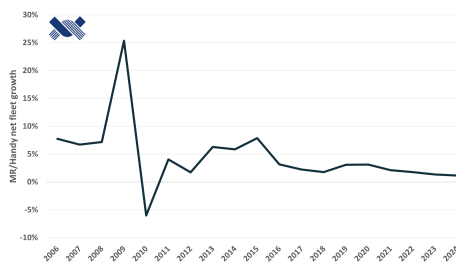
MR/Handy tonne-miles YTD have risen by 2.9%, while fleet growth has been 1.2%. Meanwhile, rates have been nearly \$6k/d higher than over the same period last year, perhaps a bit much although a weaker end to the year than last year's now appears increasingly likely.

There is another 1.1% of scheduled deliveries through year-end, and next year scheduled MR deliveries stack up to 5.1% gross growth. As tonne-mile demand should be well below that, we expect a softer rate environment, although still well above historical averages.

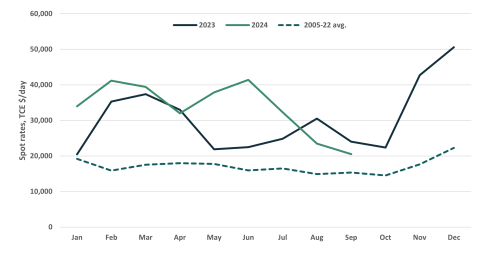
MR tonne-mile demand



MR fleet growth



MR rate development



Source: Fearnleys, Vortexa, Baltic



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